STATE OF NEW YORK

PUBLIC SERVICE COMMISSION

CASE 23-G-0225 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of the Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service

CASE 23-G-0226 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service

POST EVIDENTIARY-HEARING BRIEF OF WE ACT FOR ENVIRONMENTAL JUSTICE

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Pursuant to the ruling of Administrative Law Judges ("ALJ") Maureen Leary and James Costello at the May 20, 2024 Evidentiary Hearing in the above captioned cases, WE ACT for Environmental Justice ("WE ACT") submits the following post-hearing brief.

I. THE COMMISSION SHOULD REJECT SECTION 7.8 OF THE JOINT PROPOSAL.

The Joint Proposal, if approved, would allow rate recovery for four biomethane interconnections that will allow the Companies to purchase biomethane that is produced by private developers and inject it into their distribution system.[1] WE ACT explained in its Statement in Opposition to the Joint Proposal and Reply to Statements in Support of the Joint Proposal that rate recovery would violate Sections 7(2) and 7(3) of the Climate Leadership and Community Protection Act ("CLCPA") for a number of reasons, including that the Companies have not provided sufficient information about the interconnections' greenhouse gas and co-pollutant emissions and resulting impacts on disadvantaged communities ("DACs").[2] Testimony elicited at the May 20, 2024 evidentiary hearing sheds further light on the Companies' failure to estimate the interconnections' emissions and confirms that rate recovery must be rejected.

A. The Record Cannot Support a Finding that the Biomethane Interconnections are Consistent with CLCPA Section 7(2).

The Companies have not demonstrated—and could not demonstrate—that the interconnections comply with CLCPA Section 7(2). As detailed in WE ACT's Statement in

[1] Joint Proposal Section 7.8, NY PSC Case Nos. 23-G-0225 & 23-G-0226 (April 9, 2024) (hereinafter "Joint Proposal").
[2] *See* Statement of WE ACT for Environmental Justice in Opposition to the Joint Proposal at 28–36, NY PSC Case Nos. 23-G-0225 & 23-G-0226 (May 1, 2024) (hereinafter "WE ACT Statement in Opposition"); Reply Statement of WE ACT for Environmental Justice to Statements in Support of the Joint Proposal at 11–14, NY PSC Case Nos. 23-G-0225 & 23-G-0226 (May 10, 2024) (hereinafter "WE ACT Reply Statement").

Opposition to the Joint Proposal and Reply to Statements in Support of the Joint Proposal, the interconnections are inconsistent with and would interfere with attainment of the CLCPA greenhouse gas reduction requirements because they would result in net greenhouse gas emissions and conflict with the Scoping Plan, the Companies cannot claim any emissions reductions because they are not buying the associated environmental attribute credits, and the interconnections are not justified.[3] The Companies' testimony on cross examination further demonstrates their failure to account for the potential greenhouse gas emissions resulting from the interconnections. Specifically, the Companies' testimony makes clear that biomethane production can emit greenhouse gas emissions in multiple ways, and yet, they have not even tried to ascertain the potential greenhouse gas impacts of the biomethane interconnections for which they seek rate recovery.

The Companies' testimony demonstrates that the existing biomethane production facility at the Newtown Creek Wastewater Treatment Plant ("Newtown Creek Project") generates greenhouse gas emissions. Mr. Christopher Connelly and Mr. Pradheep Kileti, witnesses for the Companies, testified that the Newtown Creek Project's thermal oxidizer emits carbon dioxide when it runs.[4] The thermal oxidizer is a key component of the Newtown Creek Project that handles the waste stream created when biogas is purified into biomethane.[5] Yet the Companies do not track the carbon dioxide that the thermal oxidizer emits.[6] Additionally, the thermal oxidizer is powered by combustion of fossil natural gas, which produces carbon dioxide.[7] The

[3] *See* WE ACT Statement in Opposition at 28–32; WE ACT Reply Statement at 11–12.
[4] Evidentiary Hearing Transcript at 35, 19–21, NY PSC Case Nos. 23-G0225 & 23-G-0226 (May 20, 2024) (hereinafter "Transcript").
[5] Transcript at 35, 7–12; Evidentiary Hearing, Exhibit 694, NY PSC Case Nos. 23-G0225 & 23-G-0226.
[6] Transcript at 35,19–21; 36, 19–25; 37, 2–4.
[7] Transcript at 40, 9–16; Evidentiary Hearing, Exhibit 694.

Companies also do not track carbon dioxide emissions that result from the combustion of fossil natural gas to power the thermal oxidizer.[8]

Despite knowing that their own biomethane production facility emits greenhouse gas emissions, the Companies have not even attempted to estimate the potential greenhouse gas emissions that will result from the four new interconnections. Mr. Kileti testified that the Companies do not know what steps the developers will take to produce biomethane,[9] even though, as KEDNY's experience with the Newtown Creek Project demonstrates, some if not all biomethane production methods emit carbon dioxide. Mr. Kileti further testified that, although the developers will need some energy source to produce biomethane, the Companies do not know whether they will use fossil natural gas as KEDNY does at the Newtown Creek Project[10]—which of course, would generate additional carbon dioxide emissions. Nor have the Companies provided an estimate of the leakage that will result when biomethane is transported from the biomethane production facility to the Companies' distribution system at each interconnection site,[11] even though they recognize that some amount of leakage is inevitable.[12] A full accounting of the interconnections' net greenhouse gas emissions is therefore impossible to achieve.

The Companies testified that the interconnections will reduce the "carbon footprint[s]" and "associated emissions" of the wastewater treatment plants in Queens and Nassau County, but the assertion is unsupported.[13] The basis for this testimony is the assumption that, once the interconnections are built, biogas that is currently flared at both wastewater treatment plants will

[8] Transcript at 40, 21–24.
[9] Transcript at 51, 18–20 & 12–15; 59, 13–16 & 22–25; 68, 6–9; 73, 9–13; 81, 17–19.
[10] Transcript at 51, 24–25; 52, 2–11; 68, 10–16; 73, 12–17; 81, 23–25; 82, 2–4.
[11] Transcript at 60, 11–25; 61, 2; 69, 5–25; 78, 2–11; 82, 9–13.
[12] *See* Evidentiary Hearing, Exhibit 722 (providing leakage rates for new pipeline in KEDNY and KEDLI territories).
[13] KEDLI, Direct Testimony of Gas Infrastructure & Operations Panel at 76, NY PSC Case. No. 23-G-0225 (April 28, 2023) (hereinafter "KEDLI GIOP Testimony"); KEDNY, Direct Testimony of Gas Infrastructure & Operations Panel at 80, NY PSC Case No. 23-G-0226 (April 28, 2023) (hereinafter "KEDNY GIOP Testimony").

instead be purified into biomethane.[14] But the Companies do not know what emissions the purification process will *create*, and ask Commission to take it on faith that overall, emissions will decrease; as Mr. Kileti explained, "we are literally comparing two different quantities here" but the Companies do not know the "exact math."[15]

Furthermore, while two of the new interconnections will be located at existing wastewater treatment plants, the interconnections proposed for Staten Island and Calverton, Long Island, will not.[16] Currently, there is no wastewater treatment plant or any other facility producing biogas at either site,[17] and therefore, the Companies cannot argue that creating biomethane at those sites will avoid biogas flaring. Moreover, the Companies' direct testimony refers to the Staten Island and Calverton biomethane projects as "planned industrial development projects,"[18] but the Companies do not know what emissions will result from constructing them.[19] Those two biomethane projects will use food waste as a feedstock.[20] As Mr. Kileti acknowledged on cross examination, food waste will need to be transported in some way.[21] However, the Companies have not estimated the greenhouse gas emissions that will result from transporting food waste, and do not even know whether trucks or a different transportation method would be used.[22] Nor have they asked for that information.[23]Mr. Kileti explained that the developers of the food waste-to-biomethane projects approached the Companies about the interconnections, which will allow the developers to sell biomethane.[24] This testimony underscores that, if not for the

[14] Transcript at 73, 18–25; 74, 2–7; 75, 9–14.
[15] Transcript at 77, 23–25.
[16] KEDLI GIOP Testimony at 76; KEDNY GIOP Testimony at 80.
[17] Transcript at 61, 10–15; 80, 15–21.
[18] KEDLI GIOP Testimony at 76; KEDNY GIOP Testimony at 80.
[19] Transcript at 68, 17–19.
[20] KEDLI GIOP Testimony at 76; KEDNY GIOP Testimony at 80.
[21] Transcript at 63, 12–17.
[22] Transcript at 63, 12–13.
[23] Transcript at 63, 24–25.
[24] Transcript at 61, 23–25; 62, 2–8; 81, 4–6.

interconnections, biomethane would not be produced at the project sites. However, the Companies have not even tried to determine the greenhouse gas emissions that these "planned industrial project[s]" will generate.

The Companies might argue that emissions resulting from the biomethane projects should not be attributed to them because they will only be constructing interconnections, and not producing the biomethane itself. The Commission should reject this argument. The interconnections are a but-for cause of biomethane production—a fact that the Companies do not deny. As discussed, the Companies testified that the interconnections will reduce emissions at wastewater treatment plants, and [25] Mr. Kileti confirmed at the evidentiary hearing that the basis for this testimony is that, because of the interconnections, biogas at the wastewater treatment plants will be purified into biomethane rather than flared.[26] In other words, the Companies seek to take credit for emissions reductions resulting from biomethane production, but do not take responsibility for any *new* emissions resulting from biomethane production. The Companies cannot have it both ways.

B. The Record Cannot Support a Finding that the Biomethane Interconnections are Consistent with CLCPA Section 7(3).

As detailed in WE ACT's Statement in Opposition to the Joint Proposal and Reply to Statements in Support of the Joint Proposal, the Companies have not determined and disclosed the potential local impacts of the interconnections, which will all be located in or very close to disadvantaged communities ("DACs"), and therefore, the Commission is unable to make finding that the interconnections will not disproportionately burden DACs.[27] Testimony elicited at the

[25] KEDLI GIOP Testimony at 76; KEDNY GIOP Testimony at 80.
[26] Transcript at 73, 18–25; 74, 2–7; 75, 9–14.
[27] WE ACT Statement in Opposition at 32–36; WE ACT Reply Statement at 13–14.

evidentiary hearing demonstrates the extent of the Companies' failure to ascertain the interconnections' potential impacts and confirms that rate recovery would violate CLCPA Section 7(3).

The Companies' testimony shows that in addition to carbon dioxide, the Newtown Creek Project also generates emissions of harmful local pollutants including oxides of nitrogen (NOx) and particulate matter, which can cause and contribute to illnesses including asthma, cancer, and cardiovascular disease.[28] For example, the thermal oxidizer emits NOx.[29] Mr. Connelly also testified that the Newtown Creek Project burns off "impurities" from biogas, and the Companies do not even know what is emitted into the air as a result.[30] Finally, as discussed, the thermal oxidizer is powered by combustion of fossil natural gas.[31] Fossil gas combustion produces NOx and particulate matter, but the Companies do not track emissions of those pollutants from the use of fossil gas to power the thermal oxidizer.[32]

Despite knowing that their own biomethane production facility emits dangerous air pollution, the Companies have not even attempted to estimate the potential local air emissions that will result from the new interconnections. As discussed, Mr. Kileti testified that the Companies do not know what steps the developers will take to produce biomethane[33] and do not know what energy source they will use,[34] even though, as KEDNY's experience with the Newtown Creek Project demonstrates, some if not all biomethane production methods emit local pollution and combusting fossil gas to power the process would emit even more local pollution. Nor, as discussed above, have the Companies estimated the impacts of constructing two new

[28] Evidentiary Hearing, Exhibit 590 at 20–21.
[29] Evidentiary Hearing, Exhibit 698 at 9; Transcript at 35, 19–24.
[30] Transcript at 37, 13–25; 38, 2.
[31] Transcript at 40, 9–16; Evidentiary Hearing, Exhibit 694.
[32] Transcript at 40, 25; 41, 2–18.
[33] Transcript at 51, 18–20 & 12–15; 59, 13–16 & 22–25; 68, 6–9; 73, 9–13; 81, 17–19.
[34] Transcript at 51, 24–25; 52, 2–11; 68, 10–16; 73, 12–17; 81, 23–25; 82, 2–4.

"industrial development projects" on Staten Island and in Calverton and then transporting food waste to those project sites, even though transporting food waste via air, road, or water would produce additional local air pollution. Because the Staten Island and Calverton industrial development projects will be built on sites where biogas is not currently flared, the Companies cannot even argue that the projects will somehow reduce local emissions—they will only increase air pollution. Moreover, the Commission should reject any argument that local pollution resulting from biomethane production is not attributable to the interconnections, for the reasons discussed above.

As detailed in WE ACT's Statement in Opposition to the Joint Proposal, a proper analysis would almost certainly demonstrate that the interconnections would disproportionately burden DACs.[35] However, the Companies' willful ignorance of the interconnections' potential emissions makes it impossible to determine the interconnections' local impacts, and therefore, the record cannot support a finding that the interconnections will not disproportionately burden DACs as required by CLCPA Section 7(3). The Commissions should reject Section 7.8 and deny rate recovery for the interconnections.

II. RATEPAYERS SHOULD NOT FUND THE COMPANIES' MATERIALS PROMOTING GAS, WHICH, AS STAFF CONFIRMED AT THE EVIDENTIARY HEARING, HAS BECOME A POLITICAL ISSUE.

WE ACT's Statement in Opposition to the Joint Proposal details the Companies' unlawful use of ratepayer money to fund activities that advance National Grid's policy agenda, including but not limited to materials that aim to sway public opinion about the role of natural gas in New York's energy future.[36] WE ACT also explained that the Companies' stated goal of encouraging

[35] WE ACT Statement in Opposition at 33–36.
[36] *Id*. at 38–52.

customers to electrify, while commendable, is undermined by the Companies' efforts to promote natural gas to customers.[37] On reply, Staff asserted that materials promoting natural gas to customers may be funded by ratepayers because they constitute institutional advertising that is not "clearly political or controversial."[38] However, at the evidentiary hearing Mr. Robert Cully testified that moving customers off of the gas system is difficult in part because "unfortunately, sometimes gas is a political issue as well, and some handful of customers don't want to lose gas service, period."[39] Gas is a political issue in part due to the Companies' efforts to make it so. Mr. Cully's testimony underscores that the Companies' promotion of gas "states a utility's position on a matter of public controversy [and] necessarily reflects the political views or self-interest of managements or shareholders and should not be borne by ratepayers."[40]

III. THE FLOUNDERING NPA PROGRAM ILLUSTRATES THE NEED FOR THE COMMISSION TO CREATE BENCHMARKS IN ORDER FOR THE COMPANIES TO FUNDAMENTALLY CHANGE THEIR PRACTICES.

WE ACT renews its concerns that the Companies will fall short of implementing the Joint Proposal's provisions on non-pipeline alternatives ("NPAs"). While WE ACT is pleased that the Companies are exploring new NPA programs to address load relief, main replacement, and service line replacements,[41] the Companies, as Mr. Patric O'Brien explained, have not been able to develop a successful NPA to date.[42] The Companies have stated they are committed to developing and implementing successful NPAs, yet the Joint Proposal reflects minimal changes to the Companies' patterns and practices.

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[37] *Id*.at 18.
[38] Staff Reply Statement at 35, NY PSC Case Nos. 23-G-0225, 23-G-0226 & 23-G-0200 (May 10, 2024).
[39] Transcript at 105, 24–25; 106, 2.
[40] *In re Advertising and Promotional Practices*, NY PSC Case No. 27052, 1977 WL 2021861 at *4 (Feb. 25, 1997).
[41] Joint Proposal at 40–44.
[42] Evidentiary Hearing Transcript at 99, 8–9.

WE ACT supports the Companies' plan to leverage regional outreach and engagements and proactively communicate with and educate their customers,[43] but the Commission should require the Companies to be more aggressive and meet certain NPA benchmarks or risk a financial penalty. The lack of clear targets or benchmarks demonstrates that the Companies' NPA plans are purely aspirational. The Joint Proposal provides the Companies with robust penalties if they do not replace a minimum amount of leak-prone pipe but provides no benchmarks to replace a gas main, service line or gas reinforcements with an NPA. If the Commission does not take these aggressive measures, such as establishing a financial incentive or penalty, the Companies' NPA programs will not advance at the pace needed.

Respectfully submitted,

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[43] Joint Proposal at 44.